

2027 LEGISLATIVE AGENDA

The Portland Public Schools (PPS) Board of Education presents this legislative agenda to guide PPS's legislative engagement in the 2027 legislative session. Portland Public Schools is at a critical juncture as we navigate growing challenges that directly impede our ability to carry out the core mission: to provide rigorous, high-quality academic learning experiences that are inclusive and joyful. Rising costs, limited revenue, and declining enrollment have led PPS to the point where the district is facing a $65 million dollar deficit.

Persistent funding shortfalls, exacerbated by inflationary pressures and the rising cost of essential services, are further complicated by the heightened social and emotional needs of our students. Additionally, broader community instability—driven by reductions in federal support programs like SNAP and Medicaid, alongside intensified immigration enforcement—places an unsustainable burden on our students, educators, and school leadership. Together, these factors are placing an enormous burden on schools and present threats to core student service and ongoing school stability. The PPS Board is committed to working alongside state leaders to address these root challenges and place schools in Portland and Oregon on a path to becoming the best in the nation.

Priority #1: Provide Adequate Funding to Meet Students Needs

The State of Oregon has underfunded public schools since the passage of Measures 5 and 50 in the early 1990s. State education funding has not met the true costs of educating Oregon's children and continues to fall behind rising operational costs. Recent federal reductions to Medicaid and SNAP have further increased demands on schools and community partners. To preserve critical student services and prevent devastating cuts to classroom resources, the Board calls on the Legislature to at the ***very least*** fully fund the Current Service Level (CSL) established by Governor Tina Kotek, proposed at $12.57 billion. This still leaves PPS with a $65 million shortfall, the 4th consecutive year of making significant reductions, and we strongly encourage consideration of any options that can close that gap.. Additionally, the Board urges the Legislature to protect Corporate Activity Tax revenues for Student Success Act investments and other dedicated K–12 education funds. Finally, the Board supports strategic efforts to raise revenue to minimize cuts and even expand essential student-facing services.

Priority #2: Public Employee Retirement System (PERS) Relief Investment

PPS faces a steep increase in its PERS employer rate obligations due to the expiration of several side accounts established by the sale of pension obligation bonds in 2002 and 2003. School districts should not be forced to absorb escalating pension costs at the expense of classroom instruction and vital student services. For the 2027–28 school year, approximately two-thirds of the projected $65 million shortfall is directly driven by rising PERS rates. To prevent severe impacts on student learning, the PPS Board of Education urges the Governor and the State Legislature to allocate $500 million from the Education Stability Fund to buy down PERS rates for school districts statewide.

Priority #3: Adequately Fund Special Education Services

School districts have limited ability to control many of the fast-growing costs in their budgets, and available funding has not kept pace with their federal obligation to provide a free and appropriate education to all students regardless of disability status. As the cost of providing high-quality, evidence-based practices for students with disabilities continues to balloon, the Board urges the Legislature to provide school districts with support to address these escalating expenses, improving long-term stability and protecting core student-facing services.

- **Lift the Special Education Funding Cap and Add Sufficient Funding:** Oregon's 11% cap on state special education funding reimbursement falls far short of the actual number of students receiving special education services. At PPS, 17% of students are qualified to receive services. As a result, districts serving higher percentages of students with disabilities must divert limited general fund resources to cover the growing gap. The Legislature should lift the cap and add adequate funding to ensure state funding more accurately reflects the actual cost of providing special education services.
- **Fully Fund the High Cost Disabilities Account:** The state partially reimburses districts for eligible special education costs exceeding $30,000 per student. However, chronic underfunding of the High Cost Disabilities Account leaves districts responsible for absorbing the majority of these expenses. The Legislature should significantly increase appropriations to the account to provide meaningful reimbursement and reduce the financial burden on local school budgets.
- **Fully Fund Regional Inclusive Services (RIS):** Regional Inclusive Services provide special education services for students with low-incidence disabilities from birth to age 21, providing specialized expertise across each disability by offering direct instruction, coaching, professional development, assistive technology, and other support to ensure that each student’s education remains in their home district. Over the past several biennia, state funding for Regional Inclusive Services has not kept pace with the increasing costs of delivering these critical services. The Board urges the Legislature to align funding with the true cost of service delivery and fully fund the program at its current service level.

Priority #4: Modernize the State School Fund and The Quality Education Model

Oregon's K–12 funding formula was established over three decades ago and does not reflect the true, complex cost of educating today's diverse student population. The Board calls on the Legislature to establish a statewide School Funding Modernization Commission—with robust engagement that includes families, educators, district leadership, and school board members—to evaluate and update the formula to ensure every school district can deliver high-quality, inclusive education. Any updates to the State School Fund formula must be implemented thoughtfully yet urgently and ensure that the revised model adds new resources to meet district needs rather than simply redistributing existing funds.

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Priority #5: Reject additional requirements that are not paired with additional funding

Ensure every new administrative or legal requirement placed on school districts is fully supported by state funding. Amid existing budget shortfalls, unfunded requirements force districts to divert resources directly away from students and classrooms.

- **Instructional Time:** The Board supports expanding instructional time but adequate and sustainable funding must reflect the full operational costs of an expanded school year.
- **Class Sizes:** The Board recognizes that class size is an important factor in student learning. The Board opposes making class size a mandatory subject of collective bargaining unless it comes with specific, sufficient funding to support smaller class sizes.

The state legislature must also examine existing unfunded mandates to identify and eliminate costly burdens that compromise instructional funding.

Priority #6: Modernize the structure of the Public Employee Retirement System (PERS): Currently, school districts are obligated to contribute to the retirement pensions of both current and retired employees. Funding for the pension system comes directly out of the State School Fund—the same source that supports core student services. As policymakers work to evaluate how Oregon's school funding compares to other states, PERS obligations distort the picture because they are included in those funding formulas. To clarify how much state funding actually directly supports student services versus pension obligations, the state should examine options to better separate and manage PERS costs.

Priority #7: Strengthen Educator Preparation Programs

Strengthen educator preparation programs to ensure that new teachers are fully equipped to serve students with complex learning needs. This includes ensuring that new teachers are trained in evidence-based practices to effectively support students who are learning English and students who are struggling to learn to read. The state legislature can accomplish this by:

- Codifying standards for literacy instruction developed by the Early Literacy Educator Preparation Council;

- Expanding funding for Educator Preparation Programs (EPPs) to strengthen program capacity;
- Bolstering certification programs to ensure that all new teachers in Oregon and teachers from out of state demonstrate proficiency in instructional delivery for multiple language learners..

Other Priorities:

- **Fully fund Outdoor School as directed by voters**: Support the $63 million Current Service Level request.
- **Screen Time/Education Technology/Artificial Intelligence:** The Board is currently developing its own use of A.I. and Technology district wide policy. Once the policy is adopted, it will guide the district's values and engagement on any potential legislative proposals.
- **Repealing Opt-Out of State Assessments**: The Board supports legislation to enhance participation in statewide assessments. High participation rates are essential to ensuring school accountability and accurately reflecting achievement levels to identify and deliver needed student supports.
- **Standardized Incident Reporting**: The Board will continue to monitor discussions regarding incident reporting as they relate to seclusion and restraint, discipline, and harassment. The Board urges the Legislature to adopt a thoughtful approach that balances student safety, timely investigations, and clear, consistent standards.
- **Virtual Charter Schools:** The board supports legislative efforts that develop a consistent statewide framework for virtual charter school authorizations and ongoing monitoring. Virtual charter schools must be held accountable to spend public dollars responsibly and provide educational rigor in their programs consistent with Oregon standards.